

income with consumers. The real GDP growth of 8.2% in the second quarter of FY26 points to the fact that the reforms are resulting in high growth. In addition, policy measures such as Labour Codes will lead to improved efficiency, providing a further fillip to growth.

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What is your expectation on GDP growth for this fiscal? Are you concerned about the expected shortfall in tax collections?

Growth momentum this fiscal remains strong, with the Reserve Bank of India (RBI) raising its FY26 growth forecast to 7.3% and the economy recording a robust 8.2% growth in Q2. This reflects underlying resilience in domestic demand, investment, and services activity. On the fiscal side, higher growth itself has a multiplier effect, supporting revenue buoyancy through increased economic activity and formalisation. This is already evident in GST collections, which have continued to rise despite rate cuts—0.7% growth in November and 4.6% growth in October, indicating improved compliance and a broadening tax base. In this context, concerns around a major shortfall in tax collections are limited, as sustained



growth is likely to offset rate rationalisation and support fiscal consolidation.

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Do you expect consumption demand to continue growing?

Real private final consumption expenditure, a key indicator of household demand, grew by 7.9% in the Q2 of FY26, a marked improvement over the 6.4% growth recorded in the corresponding quarter of the

previous financial year. Measures like income tax cuts, which have boosted disposable incomes, and ongoing GST rationalisation, which has reduced the tax burden and improved price efficiency, are providing a further